London Business School

Mergers, MBOs & Other Corporate Reorganizations

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Session 3:
Setting Deal Terms

Overview of class

- Method of payment
- How to set the Exchange Ratio in a merger
- Advanced financing provisions: Collars, CVRs, and Earnouts
- How to sell a company
- How to buy a company
- Bid tactics and bid rules
- Clauses protecting acquirers

Due diligence

Objective of “due dil”: get all the relevant information about the target company and possible synergies.

This requires:

1. Confirming all legal information concerning the target
2. Gathering information from public filings and sources
3. Gathering information from private or confidential sources
4. Conducting interviews with target top management
5. Organizing joint workshops with top/middle management

Due diligence

Usually made by an investment bank and an associated legal team

Essential role:

1. Make sure the acquirer knows what it will be buying – minimize risks related to fraud, misrepresentation, etc.
2. Collect data that will be used in later merger-related legal filings
3. Generate accurate cash-flow and valuation forecasts

Due dil' checklists are very helpful

- The Weston et al. (2004) textbook contains an example 9-page checklist with 129 items!

Visa & Plaid (2021)

- What happened: Visa agreed to acquire Plaid for $5.3 billion.
- Issue uncovered: During regulatory review and extended diligence, it became clear the deal faced serious antitrust challenges from the U.S. Department of Justice.
- Outcome: The companies mutually abandoned the deal before closing.
- While not fraud-based, this is an example of legal and regulatory risks identified during diligence causing a deal to be called off.
- HP and Autonomy and example of what can go wrong if due dil' fails

Method of payment

- Cash
  - If offer is £C per share, the offer value is N_T*C
- Stock
  - Issue new shares and give stock in bidder company to shareholders of target company in exchange for their stock in the target
  - Target shareholders become shareholders in bidder firm
- 26% of all mergers are cash-financed, 37% are stock deals, and the rest are a mix (Betton, Eckbo, Thorburn, 2008)

Exchange Ratio mechanics: An example

”Merger talks between United Airlines and Continental Airlines reached an impasse over the weekend over a disagreement about the price of a stock-for-stock deal…

More specifically, the two companies have not been able to reach an agreement over the value of the stock prices used to compute the exchange ratio.

One person involved in the discussions described the disagreement as a potential deal-breaker for the talks, though the companies are continuing to negotiate.”

New York Times, April 25, 2010

Exchange Ratio mechanics

	total shares	April 6 market value	April 30 market value
Continental	139.6m	$2,939m	$3,120m
United	174.9m	$3,405m	$3,778m
total		$6,344m	$6,898m

- Suppose United is willing to pay Continental shareholders a **premium** equal to half of the estimated **synergy**
- Premium: How much more acquirer pays above stand-alone valuation.
- Synergy: Estimate of "value creation"
- Suppose: Synergy estimate= 6,898 – 6,344 = 544 million

- Question: What is the correct **exchange ratio** (how many United shares should Continental shareholders receive for each Continental share)?

Computing Exchange Ratio: Method 1

- Step 1: What fractional ownership F should Target (Continental) shareholders get?

  $$6898F=2939+277=3216 \text{ So } F=3216/6898=.466.$$

- Step 2: How many NEW (=N) Acquirer (United) shares must Acquirer issue & give to Target to achieve F?

  $$F=N/(S+N) \text{ implies } N=SF/(1-F)=152.5$$

- Step 3: Acquirer shares per target share (=R)?
  - This is just the "exchange ratio."

  $$139.6R=152.45 \text{ so } R=152.45/139.6=1.09$$

Computing Exchange Ratio: Method 2

Another algorithm is:

- Step 1: Target Share Worth
- Step 2: Acquirer Share Worth
- Step 3: R=Target Share Worth/Acq. Share Worth
- Example: If Acquirer Share Worth 10 and Target Share Worth 5, then target shareholders entitled to 5/10=1/2 a share of the acquirer.

- Share Worth = (Stand Alone Value + Share of Total Synergy)/Shares Outstanding

Computing Exchange Ratio: Method 2

- United Equity Worth=3405+277=3682
- United Share Worth=3682/174.9=21.05

- Continental Equity Worth=2939+277=3216
- Continental Share Worth=3216/139.6=23.04

- Exchange Ratio=23.04/21.05=1.09

What if the merger has a cash component? How do we calculate the exchange ratio?

Exchange Ratio with Cash Component

- Algorithm 2 is easiest to adapt so let us do so…
- Consider again a Merger between Acquirer and Target where Acquirer offer includes a Cash component of C per share.

- Then our Algorithm is…
  - Step 1: Target Share Worth
  - Step 2: Acquirer Share Worth
  - Step 3: R=(Target Share Worth-C)/Acq. Share Worth

Method of Payment Considerations

Cash

- In a cash deal, the acquirer assumes all the risk
  - Shows confidence about the deal's expected synergies
- Acquirer will not want to issue more stock if they believe their stock is undervalued
- Higher leverage may lead to more discipline
- Eliminates shareholdings of target blockholders
- Downside: immediate capital gains tax for sellers
- Downside: may hurt credit rating / cost of debt

Stock

- In a stock swap, the risks associated with the deal are shared between the acquirer and the target
  - May signal that acquirer is less confident about gains
- May signal that acquirer believes their stock price is currently overvalued
- In a cross-border deal, target shareholders may not want shares listed in another country
- Difficult for unlisted companies to use shares
- Upside: no capital gains taxes for target shareholders until they sell their new shares
- Upside: can manage leverage freely

Announcement period abnormal returns 1973-1998

Window: [-1, +1]	Stock	All Cash
Combined (%)	0.6	3.6*
Target (%)	13.0*	20.1*
Acquirer (%)	-1.5*	0.4

Window: [-20, Close]	Stock	All Cash
Combined (%)	-0.6	5.3*
Target (%)	20.8*	27.8*
Acquirer (%)	-6.3	-0.2

* = statistically significant at the 5% level

Source: Andrade, et al. (2001)

Methods of Payments - Twists

- Collars
  - Help manage risk from deal initiation to close
  - Fixed ratio collars
  - Fixed price collars
- Contingent Value Rights (CVR)
- Earnouts

Fixed ratio collars

- Makes the exchange ratio *conditional* on the acquirer's share price
  - Baseline exchange ratio is x. P_A is initially 30.
  - If P_A <20, x is raised such that value = £V_1
  - If P_A >40, x is lowered such that value = £V_2

- The payoff is equivalent to the following strategy:
  - Long x shares of the acquirer
  - Long x put options with a strike of 20
  - Short x call options with a strike of 40

- The collar guarantees that the offer value will remain within the £V_1 to £V_2 interval.

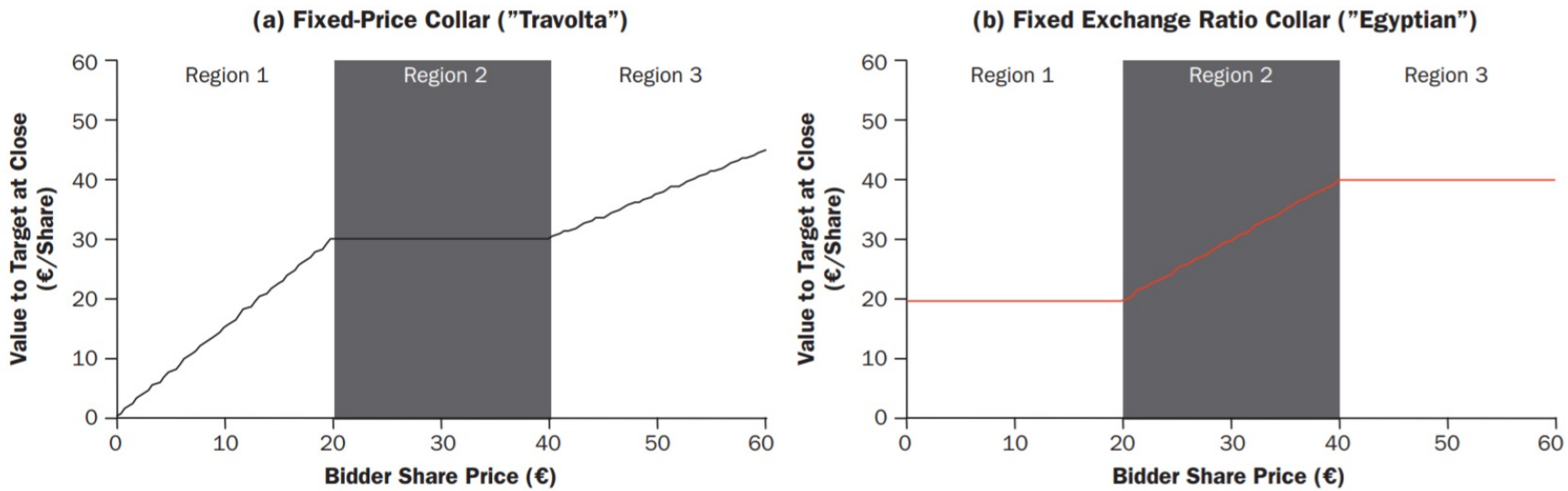
Fixed price collars

- Makes the offer *conditional* on the acquirer's share price
  - Offer value is initially 300 (with acquirer share price of 30).
  - If P_A <20, offer switches to fixed ratio offer with value = $x_1 * P_A$
  - If P_A >40, offer switches to fixed ratio offer with value = $x_2 * P_A$
- The value of the offer is fixed if the acquirer's price is within the 20-40 range.
- If the acquirer's price moves outside of that range, target shareholders are exposed to downside and participate in upside

Graphical representation of collars

Exhibit 3

Fixed-Price" and "Fixed Exchange Ratio" Collars



Source: Booz Allen Hamilton

Example of a fixed price collar

"…the terms of the agreement call for the exchange of Banc One common shares for each share of First Community stock ...If the market price of Banc One common stock, as defined in the agreement, is between $47 and $51 a share, the exchange rate will result in a market equivalent value of $31.96 in Banc One common stock. If the market price of Banc One common stock is above $51 a share, First Community shareholders will receive 0.6267 Banc One common shares. And if the market price of Banc One stock is below $47, shareholders will receive 0.68 Banc One common shares."

Source: The press release accompanying the announcement of a merger agreement between Banc One Corp.(the bidder) and First Community Bancorp Inc. (the target) on July 22, 1992. Obtained from Officer (Journal of Finance 2004)

Example of a fixed ratio collar

"……the agreement's terms state BancFlorida's shareholders would receive 0.669 First Union common shares for each BancFlorida common share if First Union's common shares price is between $41.875 and $44.875 a share. If First Union's common stock price is below $41.875, BancFlorida's shareholders would receive $28 of First Union common shares for each BancFlorida common share. If First Union's common stock price is above $44.875, BancFlorida shareholders would receive $30 of First Union common shares for each BancFlorida common share. First Union said the calculation of its common share price will be based upon the average closing price of its common shares for the 10 trading days prior to the effective date of the acquisition."

Source: The press release accompanying the announcement of a merger agreement between First Union Corp. (the bidder) and BancFlorida Financial Corp. (the target) on January 17, 1994. Obtained from Officer (Journal of Finance 2004)

Contingent Value Rights

- A CVR is a contractual right given to shareholders (usually in public-company deals) that pays out if a specific future event occurs.

- Part of the payment is contingent on the performance of the acquiring firm (and, of course, of the acquired firm)

- Target shareholders receive an additional payment in case some performance targets are met.
  - Performance target can be a positive event. E.g., if some regulatory hurdles are met. Why would this be a good idea?
  - Performance target can be a negative event. E.g., offer value falls below a certain value. Why would this be a good idea?

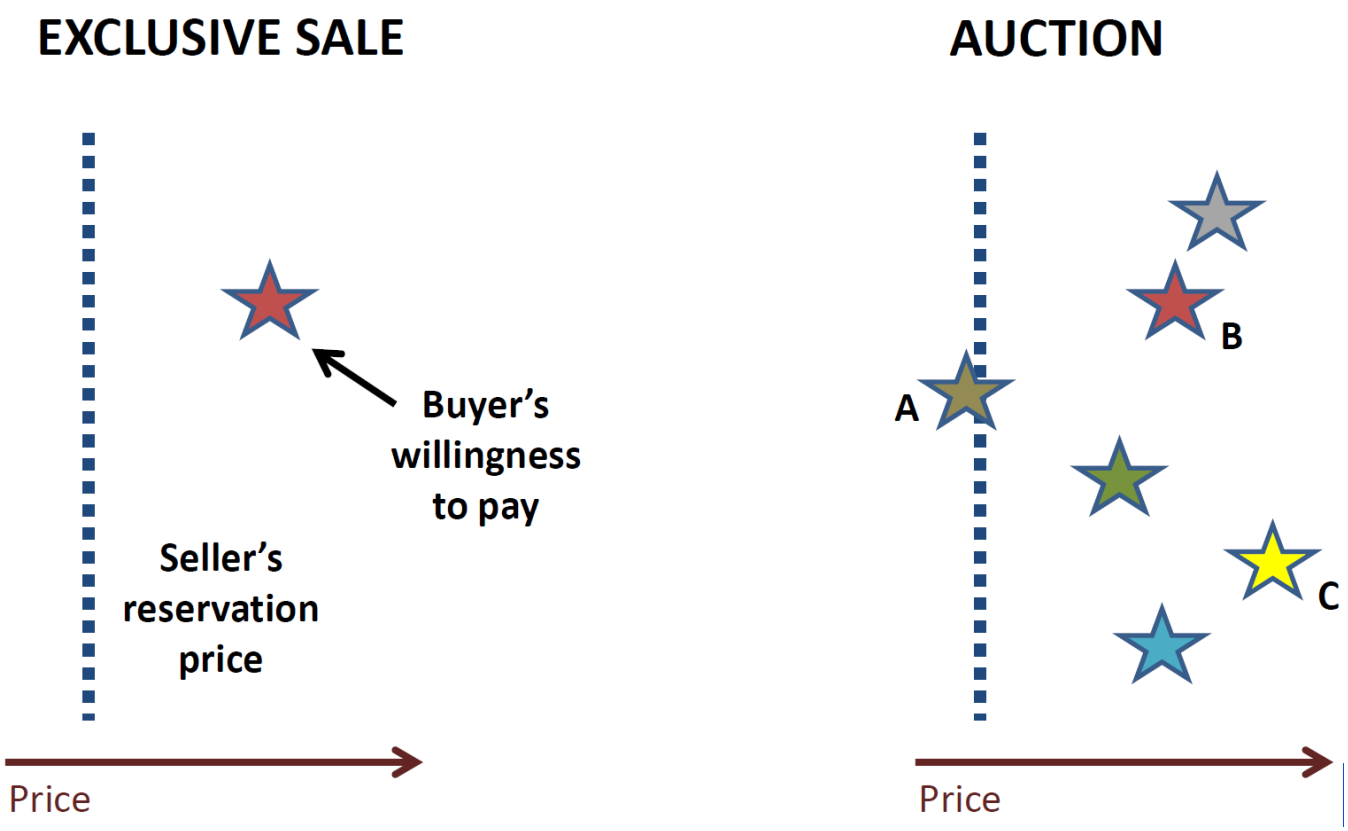
Earnouts

- An earnout is a post-closing payment to the seller of a business, tied to operating performance after an acquisition.
- Part of the payment is contingent on the performance of the target firm
- Why could this be a good idea?
  - It allows deals in which the parties disagree on valuation to go through.
- Why could this be problematic to implement?
  - After the merger, acquirer has control→ can decrease the value of earnouts by controlling target's performance

How to sell a company

- Most of the times we think of mergers and acquisitions as being led by acquirers
- However, firms can also put themselves up for sale
- Why and when does this happen?
  - Controlling family wants to diversify
  - Want to sell a division of your company
  - An investor (e.g., private equity firm) wanting to exit
  - Many other situations when you think someone else may be able to generate more value from the asset
- How do you proceed?

Auction vs Exclusive Sale



Auction vs Exclusive Deal Tradeoffs

- Exclusive sale is best when:
  - One obvious strategic buyer
  - Uncertainty about bidder's willingness to pay (WTP) is low
  - Sale needs to be quickly executed

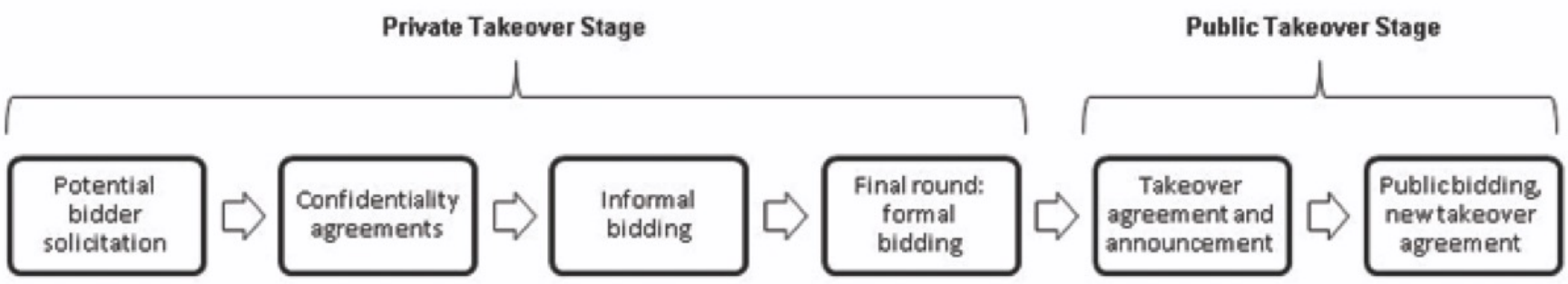
- Some drawbacks of exclusive sale:
  - May not maximize sales price
  - Other bidders may emerge after the deal is made public

Auction vs Exclusive Deal Tradeoffs

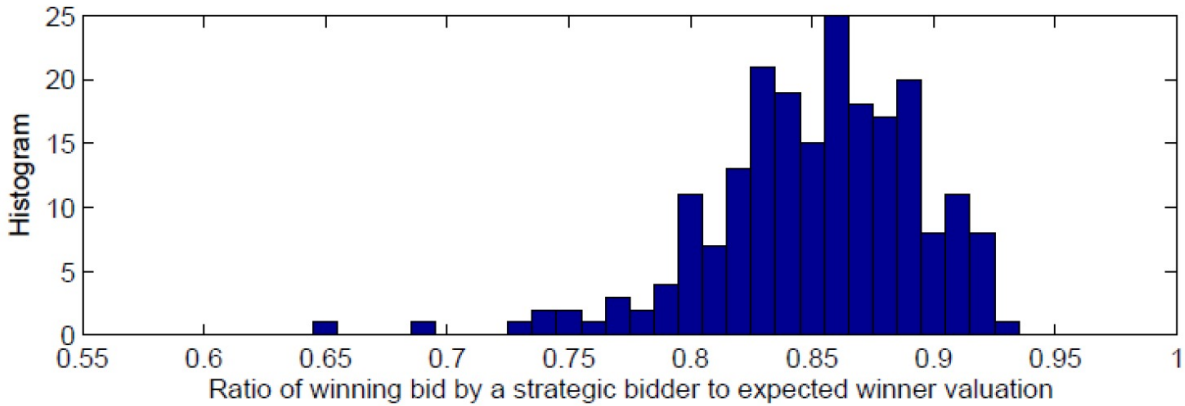
- Auction sale is best when:
  - Many potential bidders exist
  - Uncertainty about bidder's WTP is high
  - No urgent sale is needed (note: restricted auction may increase speed, but will still tend to be slower than an exclusive sale)

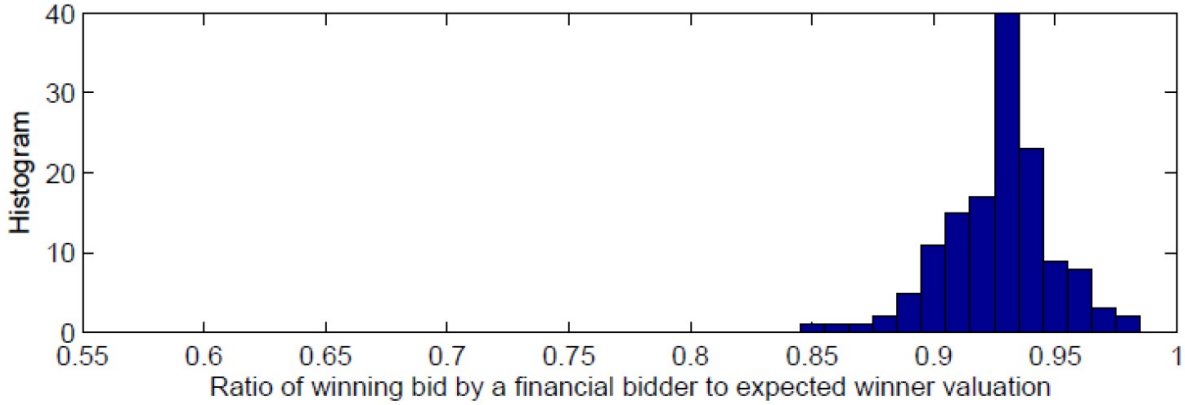
- Some drawbacks of auctions:
  - May scare away strategic bidders
  - Bidders can potentially collude

Auction process



Evidence on gains from trade





Source: Gorbenko and Malenko (2014)

How to buy a firm?

- Strategic acquirers pay between 65.5% and 92.9% (on average, 85.1%) of their expected maximum willingness to pay.
- Financial acquirers pay between 84.7% and 97.9% (on average, 92.7%) of their expected maximum willingness to pay.
- These results have two implications.
  - Financial bidders often pay close to their maximum willingness to pay when acquiring the target. If a financial bidder's valuation corresponds to the present value of future proceeds from selling the reorganized company, discounted by the appropriate cost of capital, this result suggests that financial bidders are able to generate returns only slightly above the required return.
  - Strategic acquirers appear to have substantial winning slack, underpaying, on average, 14.92% of their maximum willingness to pay (or, equivalently, 24.7% of the value of the target under the current management). Not only do strategic acquirers pay, on average, higher premiums than financial acquirers, but the maximum premiums that they are willing to pay are considerably higher.

How to buy a firm?

- The exact rules governing M&As vary by country, state, and firm
- Therefore, we will discuss some particular rules in UK and US as illustrative of the type of rules you may face
- Make sure you have
  - Expertise in the jurisdiction you are doing business
  - The right legal support to advise you on the transaction

How to acquire a company in the UK?

- Schemes of arrangement
  - Shareholder voting supervised by a court
  - Need 75% of the votes *received* to be in favour of the deal
    - Note: bidders cannot vote their shares
  - Remaining shareholders are then squeezed out

- Tender offer
  - Purchase shares directly from target shareholders
  - Bid can be made conditional on fraction tendering
    - E.g., minimum of 50% to gain control
  - “Squeeze out” rule applies to last 10%

Example Glencore and Xstrata

- Glencore owned 34% of Xstrata in 2012
- Wanted to buy the other 66% it did not own
- ‘Activist’ shareholders (Qatar, Knight Vinke, others) owned about 15% of Xstrata’s stock
- Glencore knew that merger arbitrageurs would likely buy up 20-30% of remaining float
- Should Glencore execute the deal as a scheme of arrangement or a tender offer?

Example Glencore and Xstrata

- Glencore, Xstrata announced merger in February 2012
  - Executed as a scheme of arrangement
  - Glencore could not vote its 34% holding in Xstrata
- Minority shareholders owning about 15% of the stock (Qatar, Knight Vinke, others) opposed the initial exchange ratio of 2.8
- Glencore raised its price to 3.05 shares, completed the deal in May 2013

Mandatory Bid Rule

- When a person or group acquires interests in shares carrying *30% or more of the voting rights* of a company, they must make a cash offer to all other shareholders at the highest price paid in the 12 months before the offer was announced
  - 30% treated by the Code as the level at which effective control is obtained
- If an offeror acquires for cash any interest in shares during the offer period, a cash alternative must be made available at that price at least.
- If the offeror acquires an interest in shares in an offeree company (i.e. a target) at a price higher than the value of the offer, the offer must be increased accordingly.

UK takeover code

- The offeree (target) company must appoint a competent independent adviser whose advice on the financial terms of the offer must be made known to all the shareholders, together with the opinion of the board.
- Favourable deals for selected shareholders are banned.
- All shareholders must be given the same information.
- Those issuing takeover circulars must include statements taking responsibility for the contents.
- Profit forecasts, quantified financial benefits statements and valuations must be made to specified standards and must be reported on by professional advisers.

UK takeover code

- Misleading, inaccurate or unsubstantiated statements made in documents or to the media must be publicly corrected immediately.
- Put Up or Shut Up: Bidder has 28 days to make formal offer once its intentions become public, can be a real challenge!
- Negative view on arrangements such as break-up fees.

In the US, two ways as well

- Merger
  - Typically need 50% of both target and acquirer shareholders to say yes; fraction varies by state
    - Fraction is sometimes specified in a company's charter
  - Always requires approval by the target's board
  - Remaining shareholders squeezed out

- Tender offer
  - Like in the UK, bid can be conditional on certain factors
  - Legally, can squeeze out the last 10-15%; varies by state

Asset Purchases

- Acquirer buys most assets and assumes most liabilities of the target
- Target then votes to liquidate and dissolve; any remaining proceeds go to target investors
- Acquirer may not have to obtain shareholder approval to proceed with asset purchase
- Acquirer can also leave assets or liabilities behind
  - Example: union contracts, pensions, etc. However, courts do not like this approach and rarely approve.

Asset Purchases

- Bank failures follow a special process:
- FDIC takes over operations and insured depositors are protected
- This usually happens on a Friday. Why?
- FDIC seeks a buyer (preferred outcome)
- If no buyer exists, bank is liquidated

Asset Purchases

- If no buyer exists, bank is liquidated
- Losses are absorbed in strict order
- Money is distributed according to legal priority:
  - Secured creditors
  - Insured depositors (already paid by FDIC)
  - Uninsured depositors
  - General creditors
  - Shareholders (almost always wiped out)
- Lawsuits and cleanup can take years

J.P. Morgan and Washington Mutual

- During the financial crisis, JPM bought WaMu from the FDIC for $1.9 billion after WaMu failed.
- JPM purchased nearly all of WaMu's assets
- But JPM did not agree to assume most of WaMu's non-deposit liabilities, including:
  - Senior debt, subordinated debt, and preferred stock
  - Most employee benefits liabilities and other contractual liabilities
- Senior creditors only received 55 cents per $1

J.P. Morgan and Washington Mutual

SCHEDULE 2.1 - Certain Liabilities Not Assumed

1. Preferred stock and litigation pending against the Failed Bank related to liabilities retained by the receiver.

2. Subordinated debt.

3. Senior debt.

4. All employee benefit plans sponsored by the holding company of the Failed Bank except the tax-qualified pension and 401(k) plans and employee medical plan.

5. All management, employment, change-in-control, severance, unfunded deferred compensation and individual consulting agreements or plans (i) between the Failed Bank and its employees or (ii) maintained by the Failed Bank on behalf of its employees.

Protection for Acquirers

- "No-shop" clause
  - Target agrees not to pursue other suitors
- Lockup option
  - Acquirer given the right to purchase a large block of unissued shares
- Break-up fees
  - About 40% (10%) of deals include target (bidder) termination fees
  - Often as much as 1-2% of deal's total value
- "MAC" clause
  - If material adverse change occurs in target's business, acquirer can get out of the deal